

Chapter 8**GOODS AND SERVICES****Learning Outcomes**

By the end of this chapter students will be able to:

1. Define the terms public goods and services.
2. Differentiate between public and private goods and services.
3. Identify some public goods and services.
4. Identify the ways in which the government provides goods and services (taxes and loans).
5. Define exports and imports.
6. Explain the importance of international trade for the development of Pakistan.
7. Identify the three largest exports and three largest imports by interpreting the data from a bar graph.
8. Trace the origin of common imported items and explain how they are brought to Pakistan.
9. Describe the role of banks in the lives of individuals and businesses.
10. Identify the role of State Bank of Pakistan.
11. Understand the role of federal government in the economy of Pakistan.
12. Describe the economic system of Pakistan.

PRIVATE AND PUBLIC GOODS AND SERVICES

In class four we learnt that 'goods' are products that we buy such as toys and books. We also learnt that 'services' are the performance of work for another person that we buy such as education, travel and health care.

Goods and services are of different types. Some are 'private' and some are 'public'. Goods and services produced privately, that is, produced by a person or persons and sold to consumers are 'private'. Some goods and services are so important they are made available to everyone 'are public'. Public goods and services are provided by the government. Examples of public goods and services are free textbooks, the police, parks, street lights and roads.

What is it about goods and services that make them private or public? What characteristics do these goods and services have in common? There are two characteristics of goods that will help us decide whether a good or service is public or private. These are: **excludability** and **rivalry**.

Excludability means that you can stop someone (e.g. non payers) from consuming a good or service.

Rivalry means that the use of a good or service by one person stops its use by others. Private goods are both **excludable** and **rival**. Let us take the example of a chocolate bar. This good is clearly excludable; you can easily prevent someone from eating one. Chocolate bars are also clearly rival. If you eat a chocolate bar, you have Obviously prevented or stopped someone else from eating it. Examples of private goods include almost anything that you can buy at a grocery store or a shopping mall.



Public goods do not have the above characteristics. They are neither **excludable** nor **rival**. Let us take the example of the street lights provided by the government. Once the streets have street lights, it is impossible to stop even a single person from benefitting from them. Also, while you are enjoying this facility, your use does not stop or reduce someone else's use of it. Examples of public goods include bridges, traffic lights and street signs.

Public goods are always provided by the government because there is no way a private business can profitably produce them. Private businesses cannot sell public goods in markets, because they cannot charge a price and keep nonpaying people away. The government is able to provide public goods by collecting taxes (compulsory payments to the government by the people) and/or fees for services. For example, your parents pay income tax or entrance fees for a park. The government sometimes take loans to provide important goods and services.

Teacher's Note:

Explain to students that some examples of private goods and services are restaurant meals, cars, bicycles, books, clothes, games, television, etc. Some examples of public goods and services are national defence, bridges, police protection, highways, road repairs, street signs, etc.

Activity

Write the name of the goods and services given in the box. Also write if it is public or private.

**Trade**

Trade started centuries ago because different groups of people each had something the other wanted. Trade took place within national boundaries and with time trade went across national boundaries. Not only natural resources such as iron, coal, petroleum, and aluminum were traded but also finished products, such as cars and television sets were traded.

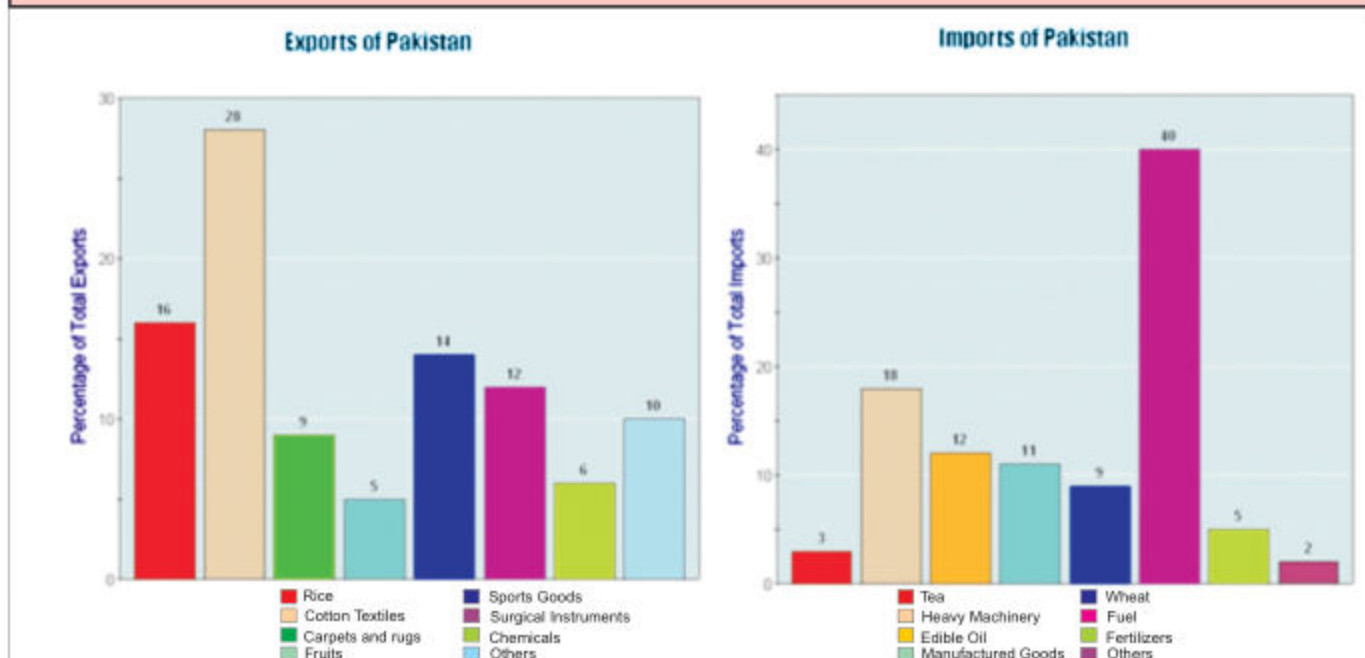
When goods and services produced in one country are sold to other countries they are called **Exports**. Exports earn money which can be used to buy the things the country needs from other countries. **Pakistan** exports rice, cotton and cotton textiles, leather and leather goods, and sports goods from which it earns money.

When goods and services are bought by buyers in one country from sellers in other countries they are called **Imports**. Imports help to meet the needs of the country. Pakistan imports heavy machines and equipment, tools and trucks, and other electronic goods from countries.

International trade promotes economic growth and development. It also promotes understanding of people and cultures. It makes countries realize that they are interdependent.

Activity

Read the following bar graphs and list the three largest exports and three largest imports of Pakistan.



Role of Banks

Have you ever been to a bank? What did you see there? Do you save your money? Why do you save? Do you have a savings account at a bank? Why did you open the account?

Banks are trusted places where people can safely keep their money. They offer a number of ways to manage your money. They provide financial services to individuals and businesses.

Individual people can borrow money from a bank for buying high-priced things like cars, homes, or education. They have to pay the money back to the bank over a period of time. Business persons who want to set up or expand their business can borrow money from a bank. They may need the money to buy machinery or raw materials for their business. Both individuals and business persons usually have to pay back more money than they borrowed. Common ways to borrow money are loans and credit cards.

Money changes hands frequently it is exchanged everyday between individual people, businesses, and banks. Commercial banks perform many functions for individuals and businesses. For example they:

- Accept deposits
- Lend money
- Process payments
- Issue bank drafts and cheques
- Offer safety deposit boxes for items and documents

Activity:

Talk to:

- a) your mother / father
- b) A business person in your neighbourhood,

And find out what role does the bank play in her/his life. You may ask them the following questions.

- i) Have you ever been to a bank?
- ii) Do you have a bank account? Why did you open the account?
- iii) Why and how often do you go to the bank?
- iv) Do you save money? If yes then why, if not why not?
- v) Have you, or someone you know, ever borrowed money from the bank?
- vi) What was the reason for borrowing money?

Role of the State Bank of Pakistan

The State bank helps to manage the economy of a country. One of its main goals is to keep the financial system of the country working well and to make sure that the country's money maintains its value. A central bank is a special institution whose customers are commercial banks and the state. The State Bank of Pakistan is the **central** bank of our country.



A view of the State Bank of Pakistan in Karachi

The State Bank of Pakistan was established on 1st July 1948. Quaid-i-Azam Mohammad Ali Jinnah performed its opening ceremony.

The State Bank of Pakistan plays an important role in the process of economic development of the country. Some of the important functions performed by the State Bank of Pakistan are:



Quaid-i-Azam opening The State Bank of Pakistan

- It issues currency notes.
- It is responsible for the maintenance of the value of Pakistani Rupee and controls the exchange rate in the country.
- It is the bank of the federal as well as the provincial governments. It assists and guides them in financial and economic matters.
- The State Bank is responsible for the payment of salaries and pension to government employees.
- The State Bank of Pakistan is the bank of all commercial banks working in Pakistan. It provides loans to them at the time of need.
- It informs the government about the financial situation of the economy.
- The State Bank of Pakistan maintains relations with different international financial institutions such as the World Bank and the IMF (International Monetary Fund).
- The State Bank helps the government in making investments, in development planning and poverty reduction programmes which results in economic growth and development.
- The State Bank collects the information from all over the country and the world throughout the year and publishes it in a report. This information is very helpful in economic planning which is necessary for the economic development.

All above points show that the State Bank of Pakistan has an important position in our economic and financial system. Without an effective role of the State Bank, economic development is impossible.

Activity:

'State Bank of Pakistan plays an important role in the process of economic development of our country.' Do you agree with this statement? If 'yes' why? If not, why not? (Give at least five points).

The Role of Federal Government in the Economy of Pakistan

The main functions of the federal government include **defence**, maintaining good relations with **foreign** countries and ensuring good economic conditions in the country.

No society can achieve economic growth and development (both physical and human) without the active and vital role of the government. *National and human development is the ultimate goal of every government.* All the economies can achieve their development targets with a mix of public and private investment.

The government provides public goods and services for the overall welfare and wellbeing of its citizens. Infrastructure such as the road and rail network and utilities such as electricity and gas, a productive business environment and satisfaction of basic needs such as health and education provided by the government help to improve the standard of living of the people of the country.

The Economic System of Pakistan

Pakistan has a mixed economy. This means that the economy is not controlled totally by the public sector (government) nor by the private sector. It is an economic system, which is planned and directed **partly** by the government and **partly** by private businesses.

Pakistan's economy has agricultural, industrial and service sectors. When Pakistan was created its economy was based on agriculture, that is, it was dependent on the buying and selling of agricultural products such as cotton and sugarcane. Some of the agriculture products like cotton and wheat were sent to factories and industries to be made into cloth and biscuits. Industries made huge progress and the industrial sector grew. Today, the service sector, food, health, education, is growing and many people are employed in it.

People are free to set up businesses according to the rules and regulations defined by the law. The government supervises and guides the whole economy to protect the interests of the whole country. In this system, the government sometimes controls prices by setting price limits to keep prices of items important for the people such as food under control but in most cases prices are decided by demand and supply of a good or service.

Activity:

Name two items, the prices of which are controlled by the government.

Name two items, the prices of which are determined by demand and supply.

SUMMARY

In this chapter we have learnt the difference between private and public goods and services, the importance of public goods and how the government obtains the money to pay for the goods and services it provides for all citizens. We have also learnt what the terms 'import' and 'export' mean and the importance of international trade for the development of Pakistan. The role of banks especially The State Bank of Pakistan in ensuring a strong economy as well as the economic system followed in Pakistan are also discussed.

EXERCISE

A. Multiple choice questions

1. For every question, three answers are given; tick the correct one:
 - i. Goods provided to all by the government are called
 - a) Private goods b) Public goods c) Cheap goods
 - ii. Which is the most important bank for the economic development of Pakistan?
 - a) State Bank b) Commercial bank c) Industrial bank
 - iii. The sale of goods to other countries is called
 - a) Exports b) imports c) sales
 - iv. From which banks can both individuals and business persons borrow money?
 - a) State Banks b) Commercial banks c) Industrial banks
 - v. What kind of economy does Pakistan have?
 - a) Command economy b) Capitalist economy c) Mixed economy

B. Answer the following questions

1. What are private goods and services? Give 3 examples.
2. What are public goods and services? Give 3 examples.
3. Read the given list of public and private goods and services. Decide which ones are public and which ones are private and write it in front of each. Explain your answers based on the concepts of rivalry and excludability.
 - i. A packet of chips _____
 - ii. A haircut from a barber shop _____
 - iii. Traffic lights on the street _____
 - iv. Building Roads _____
 - v. Bicycle _____
 - vi. Issuing postage stamps _____
 - vii. Police protection _____
 - viii. A pen _____
 - ix. Zoo _____
 - x. Clothes _____

4. Why do common people borrow money from banks?
5. Why do business persons borrow money from banks?
6. What are Exports?
7. What are Imports?
8. Why is international trade important for the development of Pakistan?

C. Make a table

Choose any 5 items which Pakistan imports. Write them down in Column A. In Column B, write why you think we import them. In column C write the country or countries from which we import them. In Column D write the currency of the country from which we import them.

	A	B	C	D
1				
2				
3				
4				
5				

D. Practical work

You are detectives looking for goods and services. Search your neighbourhood. Make a table. In column A list five goods or services provided by private businesses. In column B state how much the good or service costs. In column C list five goods and services provided by government in your neighbourhood. In column D write how it is paid for (taxes, fees, loans).